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FM Graded Quiz M2

Question 1

What is the main difference between domestic and foreign stocks for an investor?

- ☐ The industry sector of the company
- ☐ The currency in which dividends are paid
- ☐ The country where the company is domiciled relative to the investor
- ☐ The stock exchange on which they are traded



Time left:
59:49

QUESTIONS

X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

Question 2

What is the primary implication of high excess kurtosis in financial returns?

- ☐ The Central Limit Theorem no longer applies
- ☐ The mean of the distribution is likely to be inaccurate
- ☐ The returns are guaranteed to be positively skewed
- ☐ The standard deviation may not be a reliable measure of risk

Question 3

What role do oracles play in blockchain technology?

- ☐ They validate transactions within the blockchain
- ☐ They mine new cryptocurrencies
- ☐ They create smart contracts
- ☐ They bridge the blockchain with external data

Question 4

Suppose two stocks, A and B, trade at approximately identical price levels. If stock A has a daily price range of \$5 and stock B a daily price range of \$3, what can we conclude about their relative volatility?

- ☐ We cannot compare volatility using price range
- ☐ The first stock is more volatile based on price range
- ☐ Both stocks have the same volatility
- ☐ The second stock is more volatile based on price range

Question 5

Calculate the excess kurtosis of a normal distribution.

- ☐ 0
- ☐ 1
- ☐ 3

☐ -3

Question 6

Calculate the net return for a stock bought at \$100 with a \$2 commission received a \$5 dividend and sold for \$110.

- ☐ 15%
- ☐ 12.75%
- ☐ 13.50%
- ☐ 10%

Question 7

Which answer best points out the mistake in the following statement?
"The top stock analyst from Spring Bank claims MNL stock is undervalued based on GGM multistage model. The analyst assumes MNL dividend growth rate will continue to stay at 10% infinitely and it's cost of equity will always stay at 8%"

- ☐ Cost of equity should decline linearly as time goes by
- ☐ MNL stock should be overvalued based on GGM multistage model
- ☐ The dividend growth rate cannot be larger than cost of equity indefinitely
- ☐ Dividend growth rate should fluctuate all the time

Question 8

An investor buys a foreign stock for 100 units of the foreign currency when the exchange rate is 1.2 home currency units per foreign currency unit. If the stock price remains unchanged but the exchange rate changes to 1.3 what is the percentage gain or loss in the home currency?

- ☐ 8.33% loss

- ☐ 8.33% gain
- ☐ No gain or loss
- ☐ 10% gain

Question 9

Which of the following best describes the relationship between risk and potential return for small-cap stocks compared to large-cap stocks?

- ☐ Small-cap stocks generally have higher risk and higher potential returns
- ☐ Small-cap stocks always have lower risk and higher returns
- ☐ Small-cap stocks have lower risk but also lower potential returns
- ☐ There is no difference in risk or potential return between small-cap and large-cap stocks

Question 10

Which of the following best describes the relationship between the degrees of freedom in a Student's t-distribution and its similarity to a normal distribution?

- ☐ The t-distribution is always identical to the normal distribution regardless of degrees of freedom
- ☐ As the degrees of freedom decrease, the t-distribution approaches a normal distribution
- ☐ As the degrees of freedom increase, the t-distribution approaches a normal distribution
- ☐ The degrees of freedom have no impact on the shape of the t-distribution

Question 11

Which of the following is a key difference between stocks and bonds?

- ☐ Bonds can only be issued by governments while stocks can be issued by companies
- ☐ Stocks are always less risky than bonds
- ☐ Stockholders have ownership in the company while bondholders do not
- ☐ Bonds provide guaranteed returns while stocks do not

Question 12

Design a strategy to compare the performance of two stocks with different levels of risk and return.

- ☐ Only compare their standard deviations
- ☐ Only compare their total returns
- ☐ Use price ranges to determine the better performer
- ☐ Calculate and compare their Sharpe ratios

Question 13

What percentage of data falls within three standard deviations of the mean in a normal distribution?

- ☐ 99.70%
- ☐ 68%
- ☐ 96.90%
- ☐ 95.50%

Question 14

If the daily closing price of a stock on Friday is \$50 and on the following Friday is \$55 what is the

weekly logarithmic return?

- ☐ 10.50%
- ☐ 9.53%
- ☐ 8.75%
- ☐ 5.25%

Question 15

Calculate the fair value of stock AMU using the Gordon Growth Model given the latest paid dividend is \$2, cost of equity is 8% and dividend growth rate is 3%.

- ☐ \$55.20
- ☐ \$41.20
- ☐ \$48.60
- ☐ \$35.50

Question 16

A stock pays an annual dividend of \$2 per share and is currently priced at \$40. What is its dividend yield?

- ☐ 20%

☐

5%

☐

2%

☐

10%

SUBMIT

